Treasury Yields & Stock Prices

- Educational Presentation #17 – Hedge Funds
- 23.10.2026
- Property of the ESCP Alternative Investment Society (AIS)
- Sources: FRED; Federal Reserve; NY Fed; US Treasury; CBO; FactSet; S&P Dow Jones Indices; A. Damodaran; R. Shiller; Reuters; Financial Times; J.P. Morgan

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Agenda

Four questions, from where yields are today to what that means for stocks

I **Why Yields Are at Their Highest Since 2002**
What a Treasury yield is, what moves it, and why 2026 is a real-yield shock

II **How Yields Feed Into Stock Prices**
How the 10-year sets the discount rate for stocks, and why stocks have held up so far

III **Historical Case Studies**
1996 to 2000, 2008 and 2013: what past rate shocks did to stocks

IV **Is This Time Different?**
Our model, Bessent's push for lower yields, three paths for the 10-year, and our view

✓ **Key Takeaways**
Four questions to ask when yields move

Summary: earnings absorbed higher yields, but the yield gap is gone

What each section of this deck shows, and the number that sums it up

Our answer in four steps	
I **Yields are at a 2002 high, and the Fed did most of the lifting** The 10-year closed at 5.31% on 5 Oct; up 106bp in 2026, of which 98bp in real yields	**5.24%** 10-year, 9 Oct
II **Stocks held up because earnings outran the discount rate** The multiple fell 6.4% since June, but forward earnings rose 10.4%; the yield gap is now 0bp	**0bp** yield gap
III **History: why yields move matters more than how far** 2008: yields −179bp, S&P 500 −38.5%. 2013: 10-year +126bp over the year, S&P 500 +29.6%	**+29.6%** S&P 500 in 2013
IV **Our model says 17.5x, not 19.1x: about 8% downside** It stays a “good” yield rise only if the Fed stops by December; next tests 28 Oct and 4 Nov	**17.5x** our fair P/E

Earnings have absorbed higher yields so far; with no yield gap left, the index now depends on growth delivering

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Section I: Why Yields Are at Their Highest Since 2002

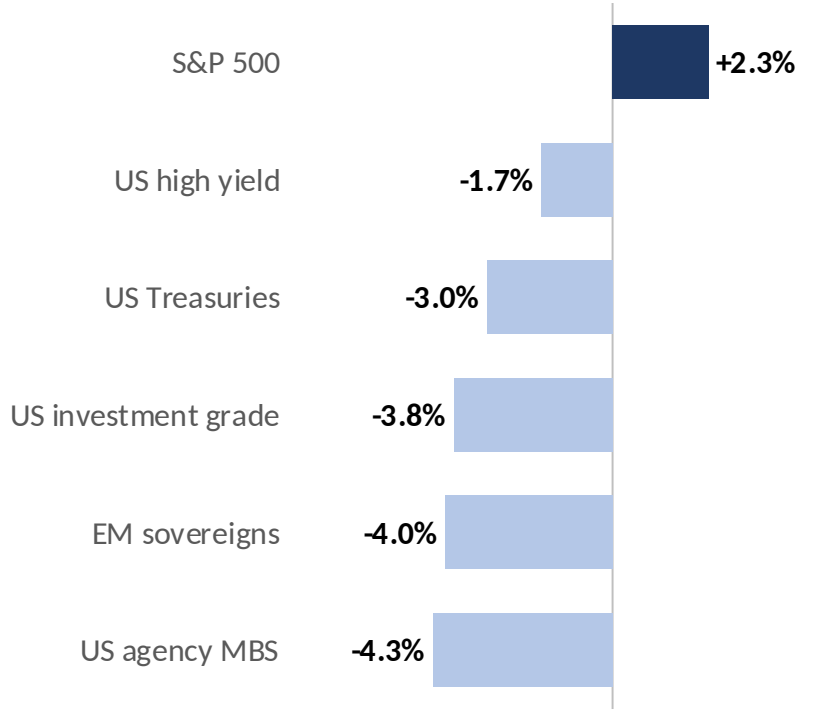
Yields hit a 2002 high, yet stocks set records: one market has it wrong

The 10-year rose 85bp in Q3, its joint largest quarterly rise since 2000, to a 5.31% close on 5 Oct, the highest since May 2002

10-year Treasury yield, weekly close since 2000, %



Total return in Q3 2026, %



Either stocks know something bonds don't, or they are underpricing rate risk: the rest of this deck tests which

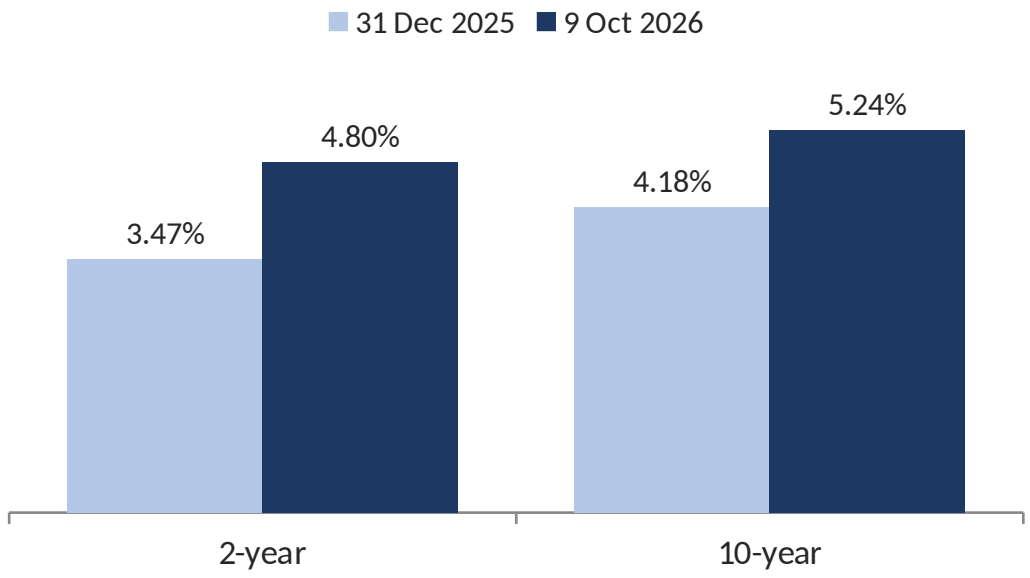
Source(s): FRED (DGS10), weekly closes to 9 Oct 2026; J.P. Morgan (2 Oct 2026), total returns to 30 Sep; US Treasury

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The 2-year follows the Fed, the 10-year prices the next decade

A Treasury yield is the annual return for lending to the US government until maturity; it moves opposite to the bond's price

2-year vs 10-year Treasury yield, %



+133bp on the 2-year vs **+106bp** on the 10-year

What each maturity is telling us

1. **The 2-year is pricing more hikes**
   At 4.80% it sits well above the 3.75–4.00% fed funds rate: markets expect the Fed to keep raising, not to cut

2. **The Fed agrees**
   16 of 18 officials see at least one more hike in 2026; median year-end rate 4.125%

3. **The curve has flattened**
   The 10-year minus 2-year gap narrowed from 71bp to 44bp this year, as the short end rose faster

The 2-year tells you what the Fed does next; the 10-year adds what investors want for tying money up for a decade

Source(s): FRED (DGS2, DGS10), 31 Dec 2025 and 9 Oct 2026; Federal Reserve Summary of Economic Projections (Sep 2026)

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Three building blocks: the Fed path, inflation and the term premium

Every 10-year yield is what the Fed is expected to do, plus cover for inflation, plus extra pay for locking money up

Expected Fed path	+	Inflation compensation	+	Term premium	=	10-year Treasury yield
The average policy rate investors expect over the next 10 years		The average inflation investors expect over the bond's life		Extra yield for holding a 10-year bond instead of rolling 3-month bills		

"Good" vs "bad" rises for stocks

Good rise: the economy is stronger

1. **Growth lifts the expected Fed path**
   A stronger economy means investors expect more hikes
2. **Earnings forecasts rise too**
   Profits grow with the economy and offset the higher discount rate
3. **Stocks can absorb it**
   As in 2013: 10-year +126bp over the year, S&P 500 +29.6%

Bad rise: investors just want more to lend

1. **The term premium or real yields jump**
   Investors demand more to hold bonds; growth does not change
2. **Only the discount rate rises**
   Earnings forecasts do not move, so nothing offsets it
3. **Valuations fall**
   As in 2022: 10-year +237bp, S&P 500 −18.1%

Which block moved matters more than the size of the move: it tells you whether earnings rise alongside the discount rate

Source(s): Federal Reserve Bank of New York (ACM term premium model); FRED (DGS10, DFII10, T10YIE)

Four forces move yields; in 2026 they worked mainly through the Fed

Each force pushes on a different building block; oil lifted inflation, but the Fed's turn to hiking did most of the lifting

1 The Fed	2 Inflation	3 Government borrowing	4 Foreign demand
Moves: Expected Fed path Rate decisions and guidance set the path investors expect	**Moves: Inflation compensation** Oil, wages and tariffs shape the inflation investors expect	**Moves: Term premium** The more bonds the Treasury sells, the more investors want to hold them	**Moves: Term premium** If overseas buyers step back, the premium has to rise
In 2026 **−75bp, then +25bp** Three cuts in late 2025, then a hike on 16 Sep **+133bp** 2-year yield in 2026, vs +106bp for the 10-year	In 2026 **$61 → $138** Brent, end-2025 to the 7 Apr peak (Iran war) **+8bp** 10-year breakeven inflation in 2026	In 2026 **$2.0tn** FY2026 deficit, $218bn above FY2025 **Flat** Coupon auction sizes; bills took the extra borrowing	In 2026 **80.3%** Indirect bid at the 7 Oct 10-year auction (71.8% average) **6.03%, 4.24%** UK and Japan 30-year highs: the selloff is global
Role in 2026 **Main driver**	Role in 2026 **Indirect, via the Fed**	Role in 2026 **Adds to the term premium**	Role in 2026 **Demand holds up**

The expected Fed path and real yields did the lifting, not inflation: the next slide measures how much

Source(s): Federal Reserve; FRED (DGS2, DGS10, T10YIE), to 9 Oct 2026; BLS; CBO; US Treasury; TreasuryDirect; Reuters

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Not all yield rises are equal: 2026 is a real-yield shock

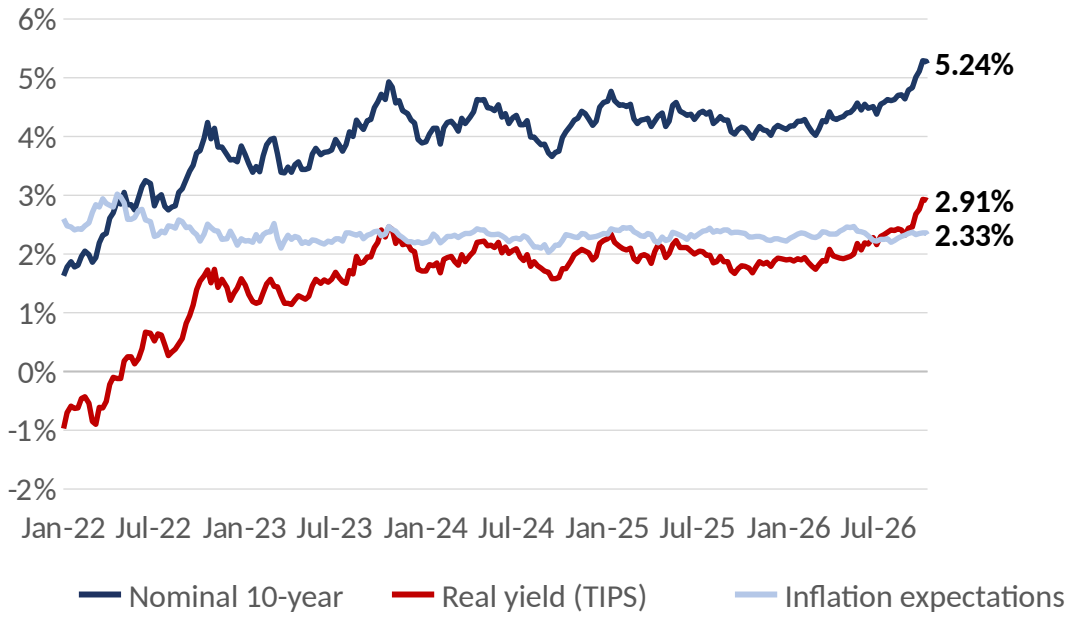
Almost all of 2026's rise in the 10-year came from real yields, the kind that compresses valuations unless earnings keep up

1. **+106bp** 10-year yield change in 2026 (to 9 Oct)
2. **+98bp** of which real yield (TIPS)
3. **+8bp** of which inflation expectations
4. **~92%** Share of the rise driven by real yields

2026 YTD: what moved the 10-year

Nominal 10-year yield	4.18% → 5.24%
Real yield (TIPS)	1.93% → 2.91%
Inflation expectations	2.25% → 2.33%
Peak real yield (5 Oct)	2.95%

10-year yield: nominal vs real vs inflation expectations



- A real-yield rise lifts the hurdle rate for every stock: it is only 'good' if earnings rise with it, the test the rest of this deck applies
- Inflation expectations barely moved (+8bp): markets see the oil shock as temporary, so this is a Fed and term-premium story

Source(s): FRED (DGS10, DFII10, T10YIE), daily, Jan 2022 to 9 Oct 2026

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Section II: How Yields Feed Into Stock Prices

Stocks are long bonds: +100bp on the 10-year ≈ −16% on fair value

Holding earnings and the risk premium fixed, the discount rate alone moves the fair S&P 500 multiple by ~3–4 turns per 100bp

How the transmission works

10y yield ↑ → **Discount Rate ↑** *r = 10y + ERP* → **Fair P/E ↓** *P/E = 1 / (r − g)*

	10y yield	Discount Rate	Fair P/E
Today	5.24%	9.47%	19.1x
After +100bp	6.24%	10.47%	16.0x (−16%)

Fair forward P/E: 10-year yield × equity risk premium

10y \ ERP	3.0%	3.5%	4.0%	4.23%	4.5%	5.0%	6.0%
4.5%	30.6x	26.6x	23.4x	22.2x	21.0x	19.0x	16.0x
5.0%	26.6x	23.4x	21.0x	20.0x	19.0x	17.3x	14.8x
5.24% today	25.0x	22.2x	20.0x	**19.1x**	18.2x	16.7x	14.3x
5.5%	23.4x	21.0x	19.0x	18.2x	17.3x	16.0x	13.8x
6.0%	21.0x	19.0x	17.3x	16.7x	16.0x	14.8x	12.9x
6.24% +100bp	20.0x	18.2x	16.7x	**16.0x**	15.4x	14.3x	12.5x
6.5%	19.0x	17.3x	16.0x	15.4x	14.8x	13.8x	12.1x
7.0%	17.3x	16.0x	14.8x	14.3x	13.8x	12.9x	11.4x

Blue = richer than today's 19.1x · red = cheaper

Down the 4.23% column, +100bp on the 10-year takes the fair P/E from 19.1x to 16.0x

A +100bp rise in the 10-year takes fair value from ~7,760 to ~6,520 on the S&P 500:
Small moves in yields now result in large moves in value

Source(s): FactSet (S&P 500 forward P/E, Oct 2026); FRED (DGS10, SP500), 9 Oct 2026; A. Damodaran (implied equity risk premium, Oct 2026)

The yield gap has disappeared

The S&P 500 now yields almost exactly what a risk-free 10-year Treasury does, a setup last seen around 2000

1. **5.24%**
   S&P 500 earnings yield (1 ÷ 19.1x forward P/E)

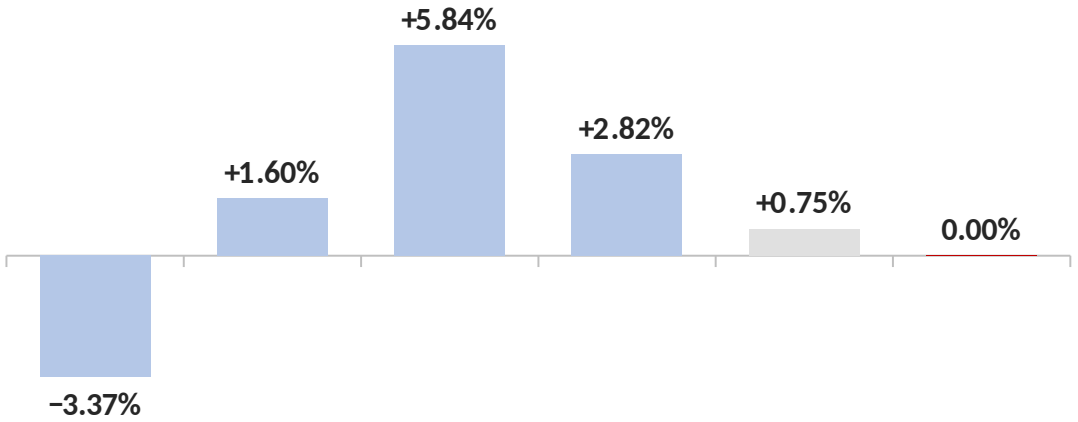
2. **5.24%**
   Risk-free 10-year Treasury yield (9 Oct 2026)

3. **0bp**
   Extra yield for owning stocks (1960–2025 avg: +75bp)

4. **4.23%**
   Second lens: Damodaran implied ERP (avg 4.25%)

Earnings yield minus 10-year yield: today vs key moments

After the GFC stocks paid ~6pp over bonds; today ≈0
Of these moments, only the 1999 dot-com peak was thinner (−3.4%)



Year-end earnings minus 10y yield
Oct 2026 = forward basis

Investors are paid almost nothing extra to own stocks: valuations now rely on earnings growth delivering, not on cheapness

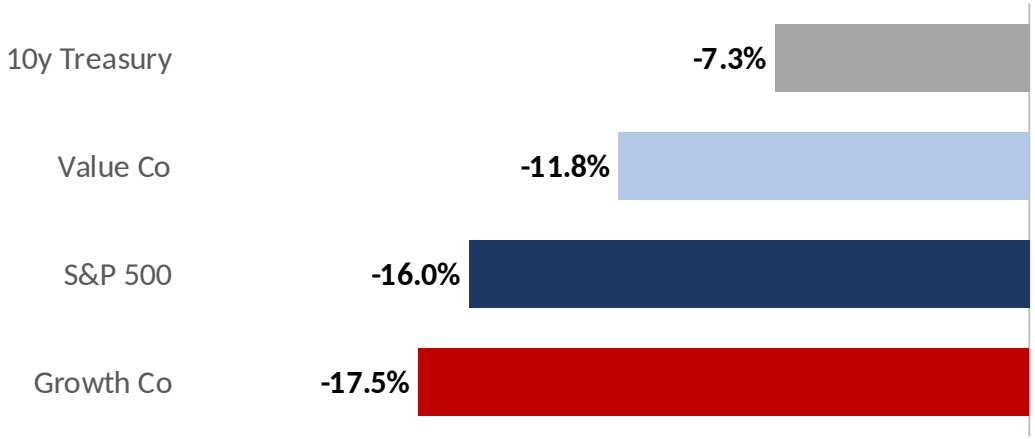
Source(s): A. Damodaran, implied ERP (annual, 1960–2025); FactSet (forward P/E 19.1x, Oct 2026); FRED (DGS10), 9 Oct 2026

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Growth stocks are the long bonds of the equity market

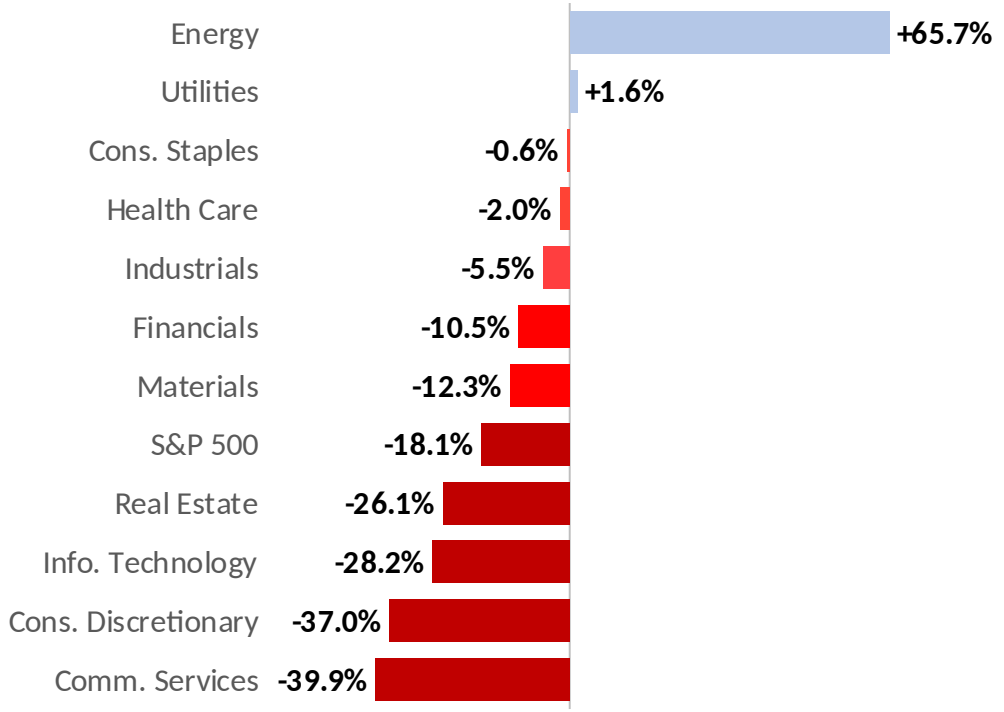
A +100bp rise hits distant cash flows hardest; 2022 proved it, but in 2026 earnings growth protected tech

Hit from a +100bp rise in the 10-year (our model)



	Value Co	Growth Co
Cash-flow growth	~2% a year	15% a year for 10 years
Value from years 11+	49%	75%
Effective duration	11.8 years	17.5 years

S&P 500 sector total returns, 2022 (10-year +237bp)



Long-duration stocks lose most when yields rise without growth; in Q3 2026 tech rose 7.2% while utilities fell 12.4%

Source(s): Our calculation (two-stage DCF, fair P/E model); S&P Dow Jones Indices (sector total returns, 2022 and Q3 2026); FTSE Russell; FRED

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So why haven’t stocks fallen? Earnings outran the discount rate

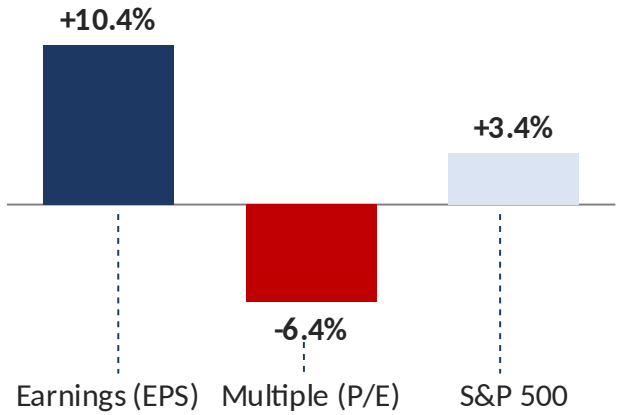
Since June the 10-year rose 78bp and the market multiple fell 6%, yet 10% earnings upgrades lifted the index

P/E — **Multiple: 20.4x → 19.1x (−6.4%)**
Higher yields cut what investors pay per $ of earnings

EPS — **Forward earnings: +10.4%**
Analysts raised 12-month EPS estimates since 30 Jun

S&P — **S&P 500: +3.4% (actual +3.5%)**
Price = EPS × P/E: earnings beat the squeeze

S&P 500, 30 Jun to 8 Oct 2026: what drove the index



+32.7%
Expected S&P 500 earnings growth in 2026 (FactSet): the engine holding stocks up despite 5%+ yields

10-year +78bp → P/E −6.4% → EPS +10.4% → S&P 500 +3.4%

Stocks held up because earnings outran the discount rate: the risk is growth slowing while yields stay above 5%

Source(s): FactSet Earnings Insight (2 Jul and 9 Oct 2026 reports, data to 8 Oct); FRED (SP500, DGS10)

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Section III: Historical Case Studies

2026 rhymes with 1999, but today's risk premium is twice as thick

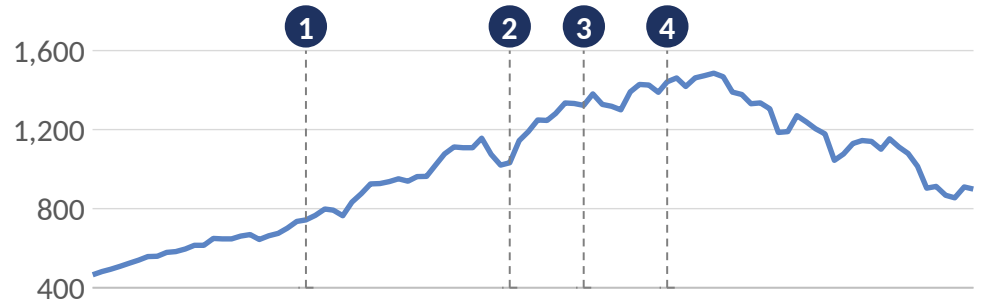
Greenspan flagged stretched valuations in 1996; the S&P 500 still doubled before Fed hikes and an earnings bust ended the run

What happened

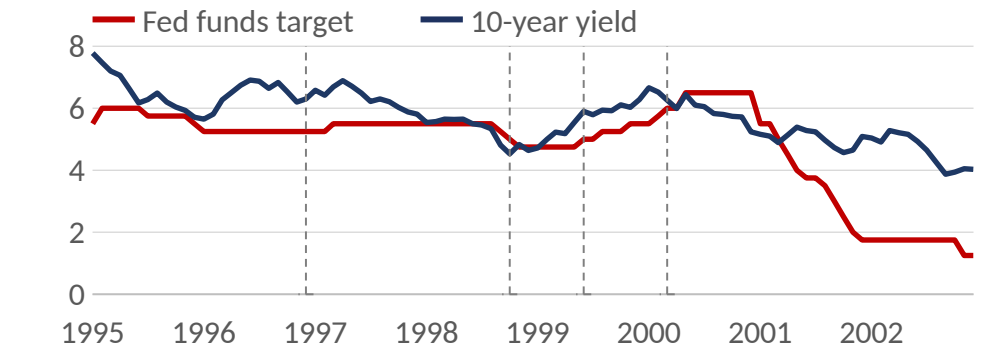
1. **5 Dec 1996:** Greenspan asks whether "irrational exuberance" has inflated asset values. S&P 500 at 744.
2. **Sep to Nov 1998:** After Russia's default and LTCM, the Fed cuts three times, from 5.50% to 4.75%.
3. **Jun 1999 to May 2000:** Six hikes take the Fed to 6.50%; the 10-year peaks at 6.79%.
4. **24 Mar 2000:** The S&P 500 peaks at 1,527, up 105% since the speech. By Oct 2002 it is down 49%.

Then and now	1998 to 2000	2025 to 2026
Insurance cuts	−75bp (1998)	**−75bp (2025)**
Hikes so far	+175bp, to 6.50%	**+25bp, to 4.00%**
S&P 500 earnings growth	+24% (1999)	**+33% (2026e)**
Equity risk premium	2.05% (end-1999)	**4.23% (Oct 2026)**

S&P 500, monthly average



Fed funds target and 10-year yield, %



The 1999 path needs more hikes and an earnings disappointment: markets price the first, not the second

Source(s): Federal Reserve; FRED (DFEDTAR, DGS10); R. Shiller, Yale; FactSet (9 Oct); A. Damodaran; J.P. Morgan (21 Sep)

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2008: Paulson's "bazooka" rescued bondholders, not shareholders

Fannie Mae and Freddie Mac were taken over on 7 September, and the 10-year yield then fell together with the S&P 500

What happened

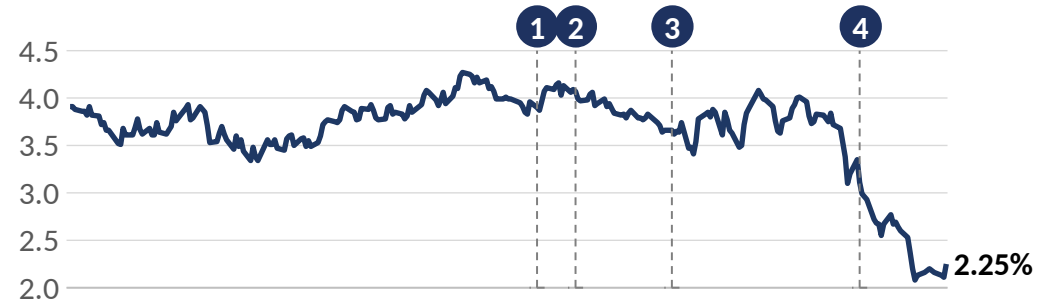
1. **13 Jul:** With Fannie Mae and Freddie Mac shares down about 75% in 2008, Paulson asks Congress for authority to backstop them.
2. **30 Jul:** The powers become law. His argument: if markets know you have a "bazooka", you may never have to use it.
3. **7 Sep:** He uses it anyway: both firms are taken over, with up to $100bn each (about $190bn is eventually drawn).
4. **25 Nov:** The Fed pledges to buy up to $600bn of agency debt and mortgage bonds. The 10-year falls 24bp that day.

What does this teach an equity analyst?

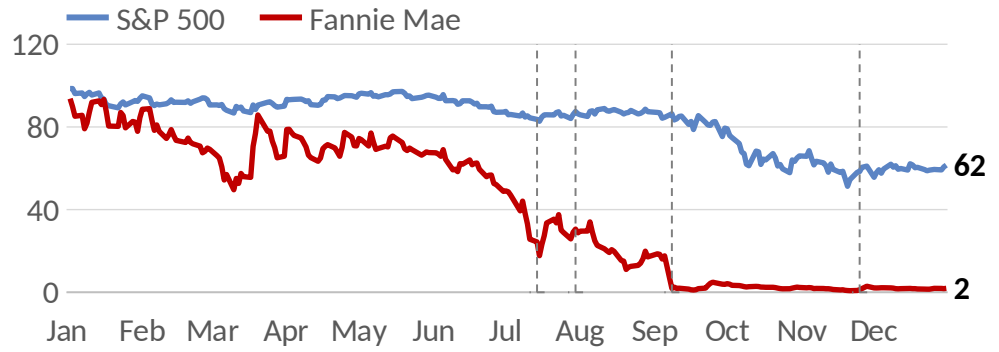
A backstop for debt is not a backstop for equity
Mortgage rates fell 42bp in a week; the shares lost 90% and 83%.

Lower yields do not help stocks when fear drives them
The 10-year fell 179bp in 2008, and the S&P 500 still lost 38.5%.

10-year Treasury yield, %



Share prices, 31 Dec 2007 = 100



Ask why yields move and who a backstop protects: Bessent's buybacks face the same test as Paulson's bazooka

Source(s): FRED (DGS10, MORTGAGE30US); Yahoo Finance (^GSPC, FNMA, FMCC); US Treasury, FHFA, Federal Reserve (2008); Yale PFS

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2013 Taper Tantrum: talk lifted yields a full point, yet stocks rose 30%

The Fed changed nothing until December; the 10-year rose from 1.94% to 2.98% (21 May to 5 Sep), all of it in real yields

What happened

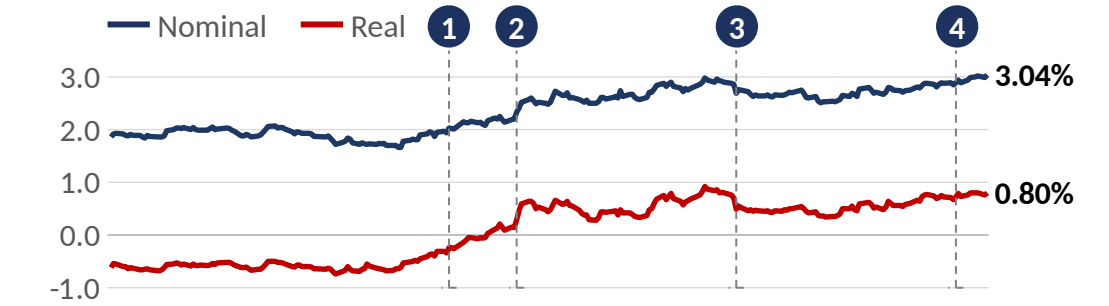
1. **22 May:** Fed Chair Bernanke says the Fed could soon slow its $85bn-a-month bond buying. No rate hike, no change yet.
2. **19 Jun:** He sets a timetable to end purchases by mid-2014. The 10-year rises 40bp in a week; the S&P 500 loses 3.9% in two days.
3. **18 Sep:** Markets expect the taper to start. The Fed holds off and the 10-year drops 17bp in a day.
4. **18 Dec:** The taper arrives: purchases are cut to $75bn a month. The 10-year moves 4bp; the S&P 500 closes at a record.

What does this teach an equity analyst?

Markets price the expectation, not the event
The 10-year rose 104bp on talk of tapering, and 4bp when it came.

Growth and a yield gap let stocks absorb the rise
S&P 500 +29.6% with a 2.8-point yield gap; end-2025: 0.0

10-year Treasury yield, %



S&P 500, index level



Higher yields hurt stocks unless growth or a yield gap offsets them: in 2013 both did, today the yield gap is gone

Source(s): FRED (DGS10, DFII10); Yahoo Finance (^GSPC); Federal Reserve testimony and FOMC statements (2013); A. Damodaran (2026)

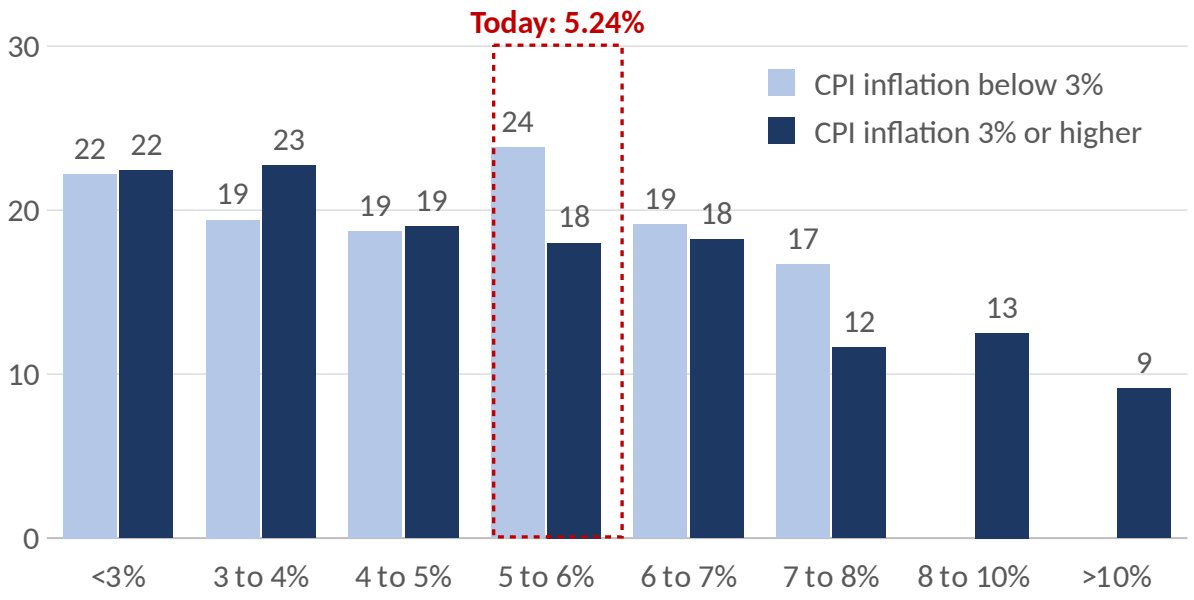
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Section IV: Is This Time Different?

History says multiples only crack above 7%, with high inflation

Median S&P 500 P/E on trailing reported earnings, by level of the 10-year yield, monthly data 1960 to 2023

Median P/E by 10-year yield band (x)



Bands with fewer than 12 months are not shown. The 5 to 6% low-inflation bar reflects the 1995 to 2001 boom.

Street view

6.0% is where most fund managers would switch from stocks to bonds (BofA survey, Oct 2026)

"Equities can handle higher yields": J.P. Morgan (21 Sep) calls 2026 "an oil and rates shock"

Our test

Up to a 7% 10-year, the median P/E held near 18x or higher

Above 7%, it fell to 9x to 17x, mostly with inflation above 3%

But today's ~27x trailing P/E is far above these medians: history backs a 5% yield, not today's multiple

A 5% 10-year is not a cliff for stocks; inflation that keeps the Fed hiking is

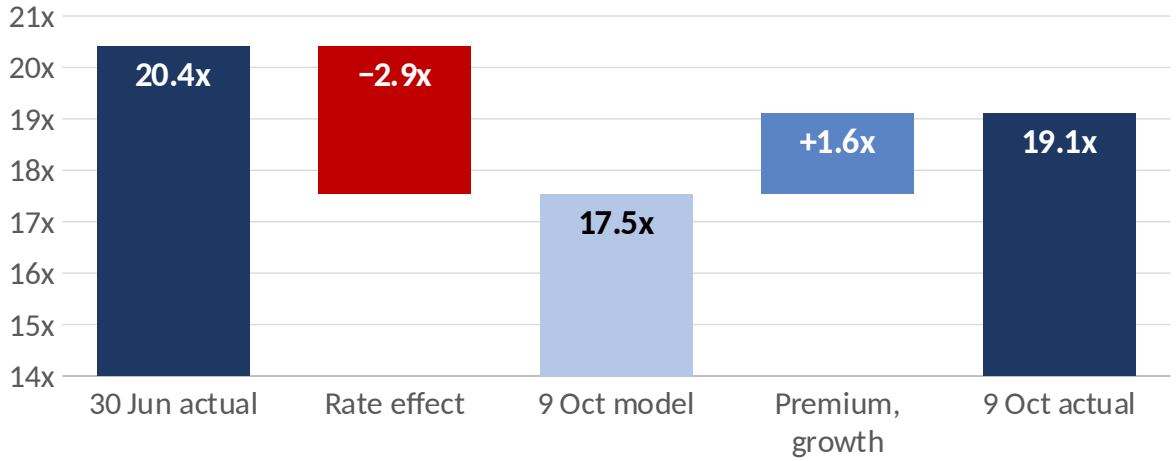
Source(s): R. Shiller, Yale (1960 to 2023), our calculation; BofA Fund Manager Survey (Oct 2026); J.P. Morgan (21 Sep)

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Our model says 17.5x, not 19.1x: stocks priced only half the shock

Bridge of the S&P 500 forward P/E from 30 Jun to 9 Oct 2026, holding June's risk premium and growth assumption fixed

S&P 500 forward P/E bridge, 30 Jun to 9 Oct 2026 (x)



Axis starts at 14x to show the steps; bars are drawn to scale above it

Formula: earnings yield (1 ÷ P/E) = 10-year yield + risk premium − growth

	Earnings yield	= 10-year	+ premium − growth	P/E
30 Jun actual	4.90%	4.44%	0.46%	**20.4x**
9 Oct model	5.70%	5.24%	0.46% (held)	**17.5x**

Three ways to explain the 1.6x gap

1. **Investors accept a thinner premium**
Premium minus growth fell about 47bp. Damodaran's cash-yield ERP, 3.70%, is the lowest since 2008.

2. **Growth expectations rose**
Forward EPS is up 10.4% since June; FactSet sees earnings +33% in 2026 and +16% in 2027.

3. **The market sees the spike as temporary**
Strategists see 5.00% by year-end and 4.75% in 12 months, but have underestimated yields nine months running.

Unless growth or a lower 10-year arrives, the index multiple has about 8% of downside to our model

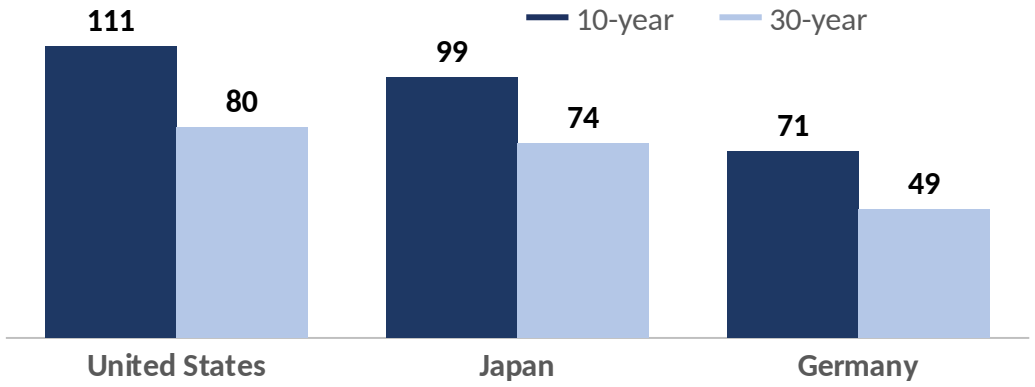
Source(s): FactSet (2 Jul, 9 Oct 2026); FRED (DGS10); A. Damodaran (1 Oct); Reuters poll (7 Oct); our calculation

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Bessent is half right, and his buybacks are too small to fix the rest

The long-end selloff is global, but the US 10-year rose more than Japan's and Germany's, mostly on the expected Fed path

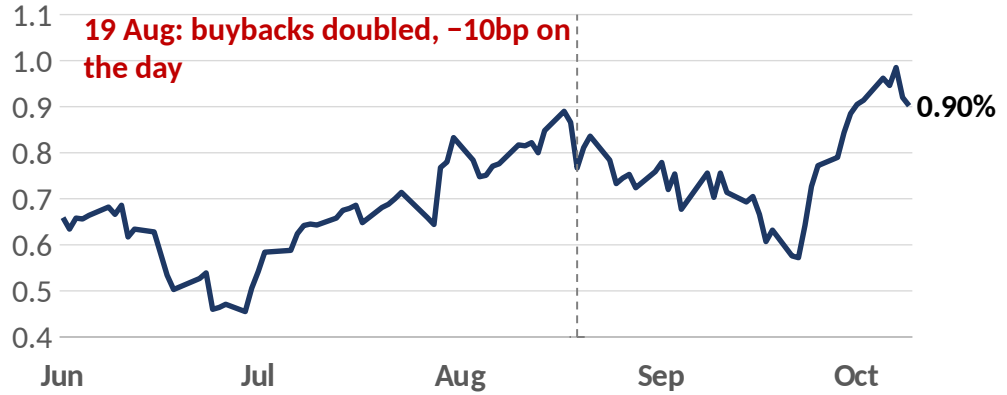
Change in yields, end-2025 to 30 Sep 2026, bp



Bessent: "global issues"
True for the long end: UK, French and Japanese long yields hit multi-decade or record highs

But is it only global?
Only half true: the US 10-year rose 111bp, more than Japan's (99bp) and Germany's (71bp)

NY Fed 10-year term premium, %, daily



$21bn	bought back in four operations, 10 Sep to 8 Oct
0.4%	of the $5.4tn of Treasuries with over 10 years left
9%	of the $231bn of long bonds auctioned Aug to Oct

The Fed explains most of the rise and buybacks are 0.4% of long debt: watch the 4 Nov refunding for anything bigger

Source(s): FRED; Bundesbank; Japan MOF; NY Fed (ACM, to 9 Oct 2026); fiscaldata.treasury.gov; US Treasury; J.P. Morgan (2 Oct); Reuters (15 Sep)

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Three paths for the 10-year, and what each means for fair value

Fair forward P/E from our model under each path, at today's thin risk premium and at June's (19.1x today, with the 10-year at 5.24% on 9 Oct)

Rates retreat		Consensus holds		Break above 6%, premium back to 5%	
10-year	Fair P/E (vs 19.1x)	10-year	Fair P/E (vs 19.1x)	10-year	Fair P/E (vs 19.1x)
4.75%	**21.1x +10%**	**5.00%**	**20.0x +5%**	**6.00%**	**14.8x −23%**
−49bp vs 9 Oct	June premium: 19.2x, +0.5%	−24bp vs 9 Oct	June premium: 18.3x, −4%	+76bp vs 9 Oct	June premium: 13.8x, −28%
What it takes: The Fed stops after December and oil fades **Who sees it:** Goldman Sachs; Reuters poll median in 12 months		**What it takes:** One more hike and no fiscal shock **Who sees it:** Reuters poll median for year-end; BofA and Citi		**What it takes:** Hikes into 2027 and the risk premium returns to 5% **Who sees it:** Fund managers' switch point to bonds (BofA)	

Street view vs our test: consensus sits on the middle path, but strategists have underestimated the 10-year nine months running and 28 of 30 see the risks skewed higher (Reuters, 7 Oct).

14 Oct (done)	15 Oct (done)	28 Oct	29 Oct	3 Nov	4 Nov
CPI: 3.7%, core 2.6%	Chair Warsh spoke	FOMC decision	Q3 GDP	US midterms	Treasury refunding

Upside needs the Fed to stop and investors to stay generous; downside needs only more of the same

Source(s): our model (FactSet, FRED, A. Damodaran, 9 Oct 2026); Reuters poll (7 Oct); Bloomberg; BofA survey

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Our view: stocks are priced for the good kind of higher yields

What today's 19.1x is betting on, what could break it, and what would change our mind

What stocks are betting on

1. **Earnings keep compounding**
   FactSet: +33% in 2026 and +16% in 2027
2. **Inflation is oil, not wages**
   Core CPI 2.6% vs 3.7% headline in September
3. **History tolerates 5%**
   The median P/E held at 18x or more up to a 7% 10-year
4. **Treasury demand holds**
   80.3% indirect bid at the 7 Oct 10-year auction

What could break it

1. **The Fed is still hiking**
   16 of 18 officials see more; CPI lifted the 2-year 13bp
2. **No yield gap left**
   Earnings yield equals the 10-year; our fair value 17.5x
3. **A narrow market**
   Over 4 in 10 S&P 500 stocks are down this year
4. **Credit is cracking underneath**
   CCC spreads widened from 885bp to 1,253bp

What would change our mind: a Fed hold in December, core CPI back below 2.5%, or credible fiscal measures at the 4 Nov refunding.

Our call: cautious on the index multiple, not on earnings; it stays a 'good' yield rise only if the Fed stops by December

Source(s): FactSet (9 Oct 2026); Fed SEP (Sep 2026); BLS; R. Shiller; TreasuryDirect (7 Oct); Reuters (12 Oct); ICE BofA via FRED; our model

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Key takeaways: four questions to ask when yields move

What an analyst should check when yields move, and what each episode in this deck taught us

Four questions to ask	
1	**Which block moved?** The Fed path, inflation compensation or the term premium
2	**Are earnings rising with it?** If yes, stocks can absorb it; if not, multiples compress
3	**How much yield gap is left?** Earnings yield vs 10-year; premium vs 4.25% average
4	**How long are the cash flows?** Growth and long-duration sectors take the biggest hit

What each episode taught us	
1	**1996 to 2000: valuation alone doesn't time the top** The Fed, then earnings, ended the run three years later
2	**2008: a backstop for debt is not one for equity** Mortgage rates fell 42bp; shareholders lost 90% in a day
3	**2013: growth-driven rises get absorbed** The 10-year rose 126bp over 2013, yet the S&P 500 rose 29.6%
4	**2026: a real-yield rise with no yield gap left** Earnings must keep delivering for today's 19.1x to hold

Our answer: yields hit stocks through the discount rate; whether a rise hurts depends on why yields move and if earnings keep up.

Ask why yields are moving before asking how far: the reason decides what happens to stocks



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